

Table 10.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	64% up	36% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 46%, M 49%, H 41%	L –19%, M –14%, H –12%
Throwbacks/pullbacks occurrence	64%	69%
Average time to throwback/pullback peaks	5% in 6 days	–7% in 6 days
Average time to throwback/pullback ends	12 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	43%	–15%
Average rise/decline for patterns without throwbacks/pullbacks	42%	–15%
Percentage price resumes trend	71%	55%
Performance with breakout day gap	35%	–18%
Performance without breakout day gap	44%	–15%
Average gap size	\$0.45	\$0.37

You read downward breakouts in a similar manner. Almost a quarter of the patterns (23%) saw price drop no more than 5%. Half (59%) didn't see price drop more than 15%.

Table 10.4 shows breakout-related statistics.

Breakout direction. Price breaks out of the pattern upward almost twice as often as downward.

Yearly position, performance. I sorted the breakout price into one of three buckets, each a third of the yearly high–low range. Then I checked performance for patterns in those three buckets. The table shows that there's not a big performance difference for upward breakouts. Clearly, though, you'll want to avoid trading patterns within a third of the yearly high (price rises 41%).